

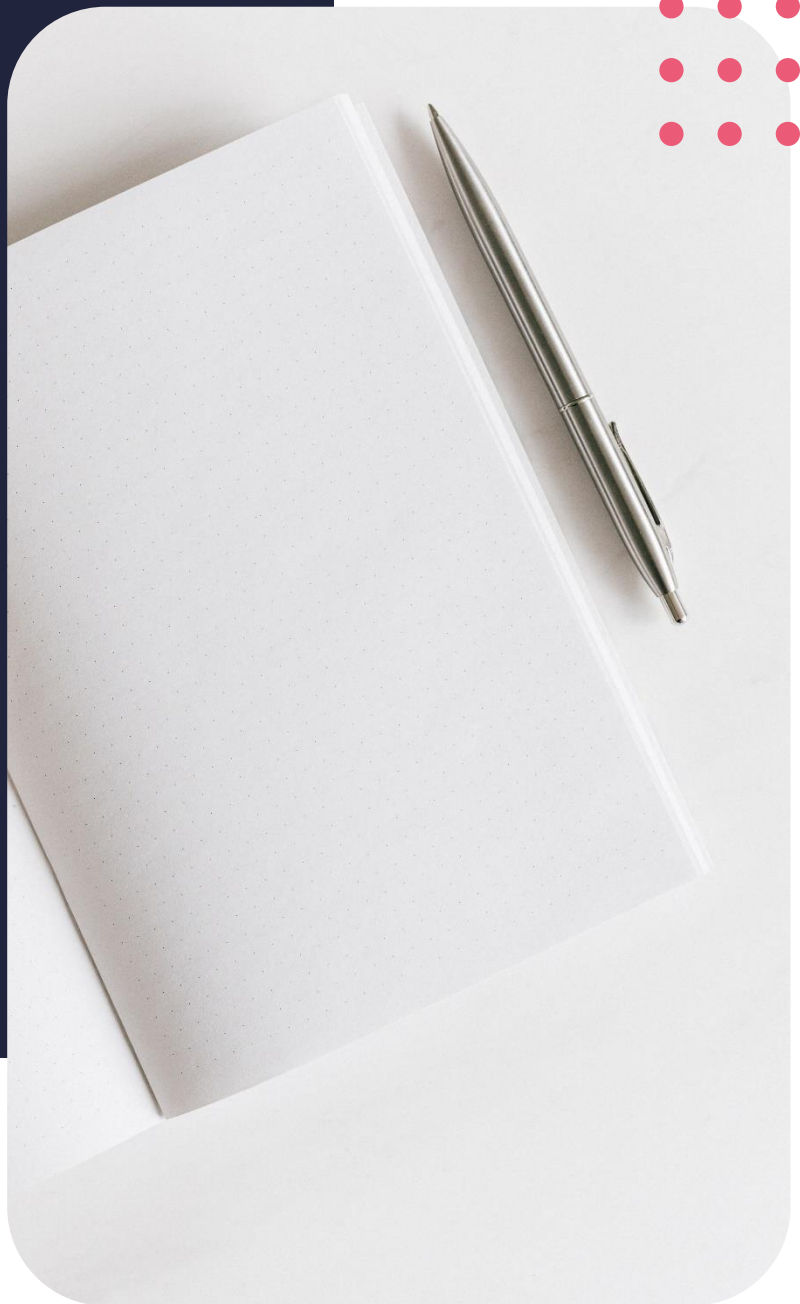
Diploma in Project
Management

Project Initiation Phase



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Lesson objectives

By the end of this lesson, you should be able to:

- Identify scope
- Explain feasibility studies
- Identify stakeholders
- Create a project charter

Introduction

Welcome to our second lesson of Project Management. In our first lesson, we outlined the different phases or stages of the Project Management lifecycle. Today we are going to look more closely at that first stage – The Initiation Phase.

Fun Fact

But before we dive in, a quick fun fact to illustrate how significant the field of project management is – in case you still need convincing! Did you know that the International Space Station – valued at over 150 billion dollars - is one of the world's megaprojects? It is a modular space station in low Earth orbit and is a collaborative project involving five participating space agencies from the US, Russia, Japan, Europe and Canada.

Lesson objectives

The objectives of today's lesson are to:

- Show you how to identify scope – by determining project goals & objectives and understanding deliverables & milestones
- Explain Feasibility studies
- Identify stakeholders and talk about their interests & influence, and
- Show you how to create a project charter

As already mentioned, the initiation phase is the first phase within your project management lifecycle.

- Within this phase we need to evaluate things such as the **scope of the project** being the entire body of work that you need to accomplish.
- Key to this is looking at the purpose of undertaking the project (your goals) and the product or service you are needing to create to meet these goals – known as the deliverables.

A key part of the initiation phase is looking at the **feasibility** of the project – what is the likelihood of success. And then to consider the **stakeholders** in the project – the people, both internally and externally, who will make it happen, who will make it a success.

Project scope

The scope is a detailed account of every aspect of the project that needs to be met for your project to reach its goals. It also determines the boundaries of your project.

Maintaining the project's scope is incredibly vital to the success of a project. When you're determining it, it is vital that you use visuals. Remember that not every stakeholder or every team member is an expert in every field. And this means that they may not follow the jargon and any of this while some of the steps that you are using in your explanation so visuals can come in very handy in the scenario. It is important to be specific because what one person hears may be different to what someone else hears.

Six phases of defining the scope

There are six phases of defining the scope of a project:

1. You start with Plan the Scope - and, as just mentioned, you need to be as specific as possible. For example: We want five different web pages for a website that enables people to purchase shoes online.
2. Control Scope refers to sticking to the plan. If a stakeholder comes along saying ' Let's add X, Y and Z to our project'. You can then say, sorry, that is not within our scope.
3. Collect Requirements refers to everything that needs to be done to make the project happen.
4. Once you have carefully thought through the first three steps you will then be able to clearly define the scope.
5. The next step refers to creating a Work Breakdown Structure. What is this? Basically, this is a hierarchical structures that starts with a large project and then breaks it down into smaller, more manageable pieces that can be assigned to teams. Rather than focusses on individuals, a WBS generally focuses on deliverables or measurable milestones.
6. The final step is to Validate the Scope – this is the process of formalising the acceptance of the project plan and deliverables. It involves presenting the scope to the stakeholders and making sure everyone knows exactly what is going to be accomplished.

Scope of work sections

The scope of work document is an agreement of the work you are going to perform on the project. Your project scope could be broken down into four sections:

The Timeline: This is the road leading from the start of the project to the end. It delineates the major phases across the schedule of the project's duration and should also mark the points when deliverables should be ready.

The Deliverables are what your project will deliver. It could be a product or service or a combination of the two. It is the reason you are executing the project and needs to be clearly identified.

Projects can be very long and complex, which is why they're laid out over a timeline and broken down into more manageable parts called tasks. Larger phases of the project are marked by milestones. This helps you monitor the progress of the project to make sure it's adhering to the planned schedule.

You will also need a formal record of the progress of the project – that's where reports come in. You'll be generating status or progress reports throughout the project, and delivering them to your team or customer, stakeholder or sponsor.

Scope creep

Scope Creep is the top cause of project failure! Often the smallest things can be what ultimately causes your project to move into scope creep so it is important to always be vigilant. Generally, scope creep occurs when:

- Projects are not accurately defined
- Documents are inaccurate
- Control is lost/ loosely managed

Scope Creep, simply put is adding new specs, altering existing requirements or changing the pre-agreed project goals. This demand for more resources or additional effort can come in at any time and disrupt your entire project strategy because these things would require additional time and costs which were not accounted for at the beginning.

Identifying project goals

Project goals are what you plan to achieve by the end of your project – the ultimate purpose! Imagine you are looking into the future at the long-term outcome. Project goals should be tangible statements and measurable targets.

SMART goals

Essentially, your goals need to be SMART goals. We're sure you would have heard of those before. A quick run through of them to recap:

SPECIFIC

What exactly needs to be done and when does it need to be done?

Gather specific requirements from the clients.

MEASURABLE

How are we going to measure whether we are succeeding throughout this project?

Make use of your project milestones throughout this process

ATTAINABLE

Don't set impossible tasks for your team members because all that's going to do is lower morale and can sometimes affect your quality.

Make sure that what you're reaching for is something that you can attain.

REALISTIC

Do they fit in with the environment of your company and the skill set that you possess?

TIMELY

Ensure that you allocate enough time for your team to complete the project tasks.

Identifying project objectives

Project Objectives detail what needs to be achieved to reach the project goal. There are 5 different categories of project objectives and it can help to think of these when you are doing your planning. Try to get an objective that fits in each category. This will help you end up with a set of objectives that is realistic and that ticks multiple boxes.

The five Project Objective categories are:

- Business Objectives – what you want to achieve phrased in the language of business strategy
- Financial Objectives – every project costs money – you need some financial targets
- Regulatory Objectives – your project needs to comply with internal policies and procedures and general laws, rules and regulations.
- Effectiveness Objectives - these would be objectives that relate to the quality of the project deliverables
- Performance Objectives – refers to what the project manager will track regularly.

Identifying project deliverables

The term "deliverables" is a project management term that's traditionally used to describe the quantifiable goods or services that must be provided upon the completion of a project. Deliverables can be tangible or intangible in nature.

The key aspects of deliverables are that they:

- Must exist within the project scope
- Be approved by Stakeholders
- Must be strategically planned, and
- Contribute to the overall success of the project

Identifying milestones

As mentioned earlier, milestones are tools used in project management to mark specific points along a project timeline. Identifying milestones help to plot the sequence in which the project must be completed. Milestones ensure that vital processes are accomplished within the allotted time frame. They allow for the progression of the project to be monitored as it moves through each phase

Project feasibility

That brings us to the second section of today's lesson – the feasibility of the project. Feasibility is another one of those terms that you will hear and use repeatedly in the field of project management.

A feasibility study is an analysis that takes all of a project's relevant factors into account—including economic, technical, legal, and scheduling considerations—to ascertain the likelihood of completing the project successfully.

A feasibility study defines:

- What the project is
-

- When it will be implemented
- Why you are taking on the project
- How you plan to achieve the project goals
- Best practices to ensure success
- Feasibility report on how likely it is to succeed

A good feasibility study will show the strengths and deficits before the project is planned or budgeted for. By doing the research beforehand, companies can save money and resources in the long run by avoiding projects that are not feasible.

Types of feasibility studies

There are different types of feasibility studies. The most common include:

- Technical
- Economic
- Legal
- Operational
- Scheduling

Let's look at each one more closely.

A **technical** feasibility study answers the questions: Does the company have the technological resources to undertake the project? Are the processes and procedures conducive to project success?

It would look at things such as technology, labour, transport and or shipping, physical locations and materials required for the project.

An **Economic** feasibility study is basically a cost/benefits analysis to determine the viability, costs and benefits of a project before financial resources are allocated to it.

It looks at things like the target market, what competitors are doing, predicted expenses and includes demand forecasts and predictions.

A **legal** feasibility study investigates if any aspects of the project conflicts with legal requirements or regulations. It would examine things like copyright infringement and the need for permits.

An **operational** assessment involves undertaking a study to analyse and determine whether—and how well—the organisation's needs can be met by completing the project.

It would look at the project's compatibility with the business operations and strategy, the environment, ease of operations and whether the project is fit for purpose.

The **scheduling** feasibility study is most important for project success; after all, a project will fail if not completed on time. In scheduling feasibility, an organisation estimates how much time the project will take to complete. It also considers the important milestones.

You may have noticed that the first letter of those five areas create the acronym TELOS – They **tell us** if the project is ultimately feasible or not!

Red, Amber and Green review (RAG)

The Red, Amber and Green (RAG) review is a project status reporting method that is often used by project managers to indicate how well a certain project is performing.

RED are critical errors that could cause your entire project to fail. This can be critical overspending on your budget, time delays, lack of available resources or even unhappy stakeholders. Keep a very close eye on any rating status that is sitting at red.

AMBER is an issue that can be resolved, but you need to watch it so that doesn't turn into a red status. This can be something where your project manager can intervene in time and then they can manage dissatisfaction among stakeholders or rectify anything that is going over budget or that is exceeding timeframes. If your tactics are correct, an amber, can move back into green status. If you're, however, not successful, then the status could be escalated to red, in which case you're in big trouble.

GREEN signals that everything is going well. You're on budget, you're on track with time, your resources all performing appropriately, and everything is good. Ideally in a perfect world, throughout your entire project your status will be in the green. But unfortunately, life does happen.

Go/No-Go Review

The RAG status reporting is a very efficient method that is used for identifying the status of a project as it can help in more easily and quickly determining and addressing potential risks and issues. The easiest way is to allocate a RAG status to the whole project, but on larger projects you might want to break it down and apply a RAG status to each element or aspect of the TELOS(tell us) model.

Project stakeholders

The Project Management Institute defines project stakeholders as “an individual, group or organisation that is **actively involved** in the project. So that is anyone who may affect, be affected by, or perceive itself to be affected by a decision, activity, product or any type of outcome of the project.”

The ways to identify the various internal and external stakeholders of a project is to ask the following questions:

- Who is affected positively or negatively by the project?
 - Who has the power to make it succeed or fail?
 - Who makes the decisions about money?
 - Who has influence over other stakeholders?
 - Who has the potential to solve problems with the project?
 - Who has specialist skills which are crucial to the project?
 - Who oversees assigning or procuring resources or facilities?
 - Who is the end user?
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Internal stakeholders could include:

- Top management
- The directors responsible for providing various resources,
- The Finance department
- Other specialist task teams or divisions

Maintaining strong, consistent communications with all types of stakeholders ensures a smooth project with much more buy-in and better public relations.

Your stakeholder list could spread far and wide and include some or all of those on this list.

Assessing stakeholder interest & influence

Project success depends largely on the people involved. You may get to pick some or all of your project team, but you won't get to choose every stakeholder. As a project manager, it's your job to work with the *stakeholders you've got* and to understand what makes them tick. This is essential to ensure maximised engagement and minimised problems. The key is found in the stakeholder analysis.

You may have heard of the power/interest grid. It looks like this. A **power/interest grid** is a **matrix** used for categorising stakeholders to allow them to be effectively managed during a project. Stakeholders are plotted on the **grid** in relation to the **power** and **interest** they have in respect of a project.

High power - High interest: these are the stakeholders are decision makers and have the biggest impact on the project success and hence you must closely manage their expectations.

High power - Low Interest: these are the stakeholder needed to be kept in loop, these stakeholders need to be kept satisfied even though they aren't interested because they yield power. These type of stakeholders should be dealt with cautiously as well since they may use their power in a not desired way in the project if they become unsatisfied.

Low power – High interest: Keep these people adequately informed, and talk to them to ensure that no major issues are arising. These people can often be very helpful with the detail of your project.

Low power - low interest: these people require the minimal effort. Monitor them, but do not bore them with excessive communication. These people may at some stage become more powerful in the project.

Creating a stakeholder register

A Stakeholder register is created to document who is impacted by the project and who have an influence and impact on the project. It contains information to deal with project stakeholders who have different levels of interests and impacts on the project's objectives.

The items you could or would include on a stakeholder list would be:

- Their details – name, contact details and position
 - Their level of interest and power
 - What they will contribute or will need
 - Their expectations or potential concerns associated with their involvement
-

Here is an example of a stakeholder register. Note that it would be a living document that would ideally be created by the project manager in the Initiation Phase of the project and then updated throughout the project as things change, progress and develop.

Stakeholder register example

Name	Internal/ External	Position	Interest	Influence	Contribution	Concerns	Contact
John Doe	Internal	CEO	High	High	Financial expertise	Budget	johndoe@madeup.com
Susan Sunshine	External	Client	High	High	Approves deliverables	Project timeline	susansunshine@madeup.com

Project charter

Our last stop today is to talk the project charter. A project charter is a formal, typically short document that describes your project in its entirety — including what the objectives are, how it will be carried out, and who the stakeholders are. It is a crucial ingredient in planning the project because it is used throughout the project lifecycle.

The project charter defines:

- Reason for the project
- The main stakeholders
- Benefits of the project
- Objectives and constraints
- Risks identified, and a
- General overview of the budget

Conclusion

A quick summary of what we covered in today's lesson which focused on the initiation phase of the project life cycle: We looked at the Scope of the project, The Stakeholders of a project and the Project Charter. That's lesson 2 of our Project Management course done and dusted.

The next time we meet, we'll be unpacking the project plan. Remember that term 'Work Breakdown Structures? You're about to become very familiar with it and a whole lot more interesting tools and techniques.